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THE SEASONS OF A CEO'S TENURE

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This article proposes a model of the dynamics of the CEO's tenure in office. The central argument is that there are discernible phases, or seasons, within an executive's tenure in a position, and that these seasons give rise to distinct patterns of executive attention, behavior, and, ultimately, organizational performance. The five delineated seasons are (a) response to mandate, (b) experimentation, (c) selection of an enduring theme, (d) convergence, and (e) dysfunction. The theoretical and practical implications of the model are discussed.

Almost 20 years ago, Eitzen and Yetman (1972) reported a research finding of great potential significance to theories of executive leadership. They found, in a large sample of college basketball coaches, that the relationship between coaching tenure and team performance was curvilinear: The longer the coaching tenure, the greater the team success, but after a certain period (13 years, on average) team performance declined steadily. Oddly, the authors provided little interpretation of this result, and even though the article is regularly cited for a variety of its features, theorists have not examined or extended its most intriguing implication: Executive tenures need to be modeled dynamically, possibly in terms of their phases or seasons.

Most research on executive leadership is static in its treatment of time, typically focusing on concurrent associations among such issues as executive characteristics, executive behaviors, environments, organizational strategies, and performance (e.g., Gupta & Govindarajan, 1984; Hambrick & Mason, 1984; Kotter, 1982; Miller & Toulouse, 1986). At the other extreme, some theories of executive behavior have dealt with time in a very elongated sense by focusing on an executive's entire lifetime or career (e.g., Collins & Moore, 1970; Cron & Slocum, 1986; Schein, 1978).

The intermediate approach—examining the temporal features of the executive's tenure in a specific assignment—has received limited attention. By and large, that attention has been on the dynamics surrounding executive succession—either preparations for departure (Sonnenfeld, 1988; Vancil, 1987) or the "taking charge" process very early in a managerial

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position (Gabarro, 1987; Gordon & Rosen, 1981). To this point, however, there have been no attempts to model the dynamics of the entire tenure of an executive in a given position, say as chief executive officer (CEO).

This article proposes such a model. Our central argument is that there are discernible phases, or seasons, within an executive's tenure in a position, and that these seasons give rise to distinct patterns of executive attention, behavior, and, ultimately, organizational performance.

The concepts we discuss may apply for managerial positions in general; however, our primary focus is the CEO. We adopt this focus because the highest level officer is the one most likely to possess discretion (Hambrick & Finkelstein, 1987), with least restrictive oversight and, hence, (relative to lower level managers) has the ability to manifest personal preferences and energies into organizational outcomes. As we shall discuss in a later section, not all CEOs possess such discretion; some are very restricted by the environment, by their boards, or by influential internal parties. Still, as a starting point for considering the seasons of executive tenures, the CEO position is appropriate.

We make no restrictions on the types of organizations to which the CEO seasons model may apply. In addition to large corporations, our ideas should pertain to smaller firms, not-for-profit agencies, government bureaus, universities, and other institutions. In keeping with our acknowledgment of varying degrees of discretion for CEOs, it may be that certain circumstances may mute any leadership effects at all, but at this point no entire classes of organizations can be ruled outside our theoretical frame.

Our model is descriptive, not prescriptive. It posits tendencies, not a deterministic relationship, just as is the case with seasonal models of individuals' lives (e.g., Erikson, 1950; Levinson, 1977). As such, exceptions and variations occur. We believe that by articulating now the modal, typical pattern, future investigators will be aided in predicting and explaining departures from it. In this vein, we include a discussion of potential exceptions as a later section of the article.

Another qualification of the model is that it ultimately describes a lengthy CEO tenure. Some CEOs leave office before encountering all the seasons we posit. Some do not survive even the first season. But the model describes what tends to happen as the tenure of a CEO continues. In this vein, the longevity of CEOs ranges widely. For instance, Vancil (1987) reported that among *Fortune* 500 CEOs since 1960, 19 percent served for three years or less, whereas 25 percent served for 10 years or more.

In the first major section of this article we develop the foundation for a time-phase theory of CEO tenures, particularly drawing upon existing theory and evidence to describe several critical trends that generally occur during an executive's tenure. In the second section we integrate these trends and describe how, as a set, they give rise to the five seasons that we believe characterize a CEO's tenure: (a) response to mandate, (b) experimentation, (c) selection of an enduring theme, (d) convergence, and (e) dysfunction. In the next section we discuss theoretical implications and set

forth specific propositions. We then discuss potential exceptions and variations from the general case. Finally, we discuss practical issues and present a brief conclusion.

ELEMENTS OF THE THEORY

The CEO's Paradigm

The CEO's job is well known for its complexity, ambiguity, and information overload (Kotter, 1982; Mintzberg, 1973). Because a CEO cannot begin to comprehend all relevant stimuli, bounded rationality, bias, and limited search prevail (Cyert & March, 1963; March & Simon, 1958). That is, the CEO operates with a finite model, or *paradigm*, of how the environment behaves, what options are available, and how the organization should be run. A CEO's paradigm is based on two conceptually distinct but related elements—the CEO's *schema* and *repertoire*.

A schema is the preexisting knowledge system that a manager brings to an administrative situation (Kiesler & Sproull, 1982; Lord & Foti, 1986). It includes conscious and unconscious preconceptions, beliefs, inferences, and expectations. As such, a schema is much like the personal "givens" that March and Simon (1958) argued a manager injects into his or her decision making. A manager's schema is derived from cultural and family experiences, business experiences and networks, formal education, and incidental observation (Fiske & Taylor, 1984; Kotter, 1982).

The second part of an executive's paradigm, his or her repertoire, is defined in *Webster's Ninth New Collegiate Dictionary* as "a supply of skills, devices, or expedients possessed by a person." That is, a repertoire is an executive's armament or tool kit. Because executives, like others, have limited repertoires, their tool kits are only partly full. For example, some CEOs have substantial experience in personally negotiating acquisitions, whereas others have none of this kind of experience. Some CEOs have the ability to give uplifting, rousing speeches before large groups, whereas other CEOs cannot. Some are on close, personal terms with influential bankers, while others are not. Some can quickly analyze and digest complex accounting reports, while others cannot. In short, executives have varying personal resources for conducting their jobs. They will consider some elements of their repertoires proven and reliable; other elements will be thought of as available yet not very familiar, and still other elements will be considered as weak suits that should be avoided. Finally, some of the executives' potentially available resources may lie undetected or untested.

As with CEOs' schemas, their repertoires are derived from prior experiences and personal aptitudes. In fact, CEOs' perceptions of their own repertoires are part of their schemas—a sense of strengths and weaknesses, of what is comfortable, and of what their approaches to running their organizations should be. Thus, whereas executives' schemas serve as perceptual and interpretive apparatuses, their repertoires represent their tangible abilities to "apply" their schemas in a social and economic context.

Together, a CEO's schema and repertoire form his or her paradigm, or model of the environment, the organization, the CEO, and the interconnections among all these. As complex as this model may be, it is still exceedingly limited, incomplete, and idiosyncratic. It forms the basis for the CEO's actions (or inaction). A CEO's paradigm may change over the course of his or her tenure, as learning occurs. But particularly pertinent to our theory (and developed at length in the following sections) is the likelihood that the CEO's *commitment* to his or her paradigm will vary in its strength over time. That is, the CEO may be more "learningful," or open-minded, at some times than at other times.

Entry Conditions

It would be naive to believe that all CEOs engage in the same sequence of activities and emphases during their tenures. Do all CEOs start their tenures with a large burst of staffing changes, followed by a major emphasis on innovation? No, the essence of executives' actions cannot be anticipated in any such universal manner.

Rather, our eventual description of executive seasons must be more conditional, keyed to the particular factors that characterize the executive's entry into the CEO position. As Gordon and Rosen (1981) discussed in their synthesis of the literature on leader succession, a set of interrelated forces greatly determine the executive's initial orientation and initiatives, from which later phases derive. For example, the performance and problems of the organization prior to succession will determine the experiences and inclinations of the successor who is sought; in turn, these personal characteristics greatly influence the actions taken by the executive. Moreover, the executive is under political and social pressure to display the exact orientation for which he or she was selected. As Gordon and Rosen said, "Newly appointed leaders do not function totally independently of their sponsors and of how those around them expect them to function" (1981: 239).

As an example, in 1981 General Electric was extremely profitable, but had a very low growth rate and was weighted down with primarily mature businesses. Among several contenders to replace Reginald Jones as CEO, Jack Welch, the person picked by the board, was known for his impatience and track record of innovation and growing businesses. Even his demographic profile lined up with what seemed to be needed: youth, advanced education in technology, and experience in R&D. There seems little question that Welch had a mandate to inject youth and dynamism into GE; he was picked precisely because it was thought that his paradigm—his schema and repertoire—would make the growth and dynamism occur; he was under pressure to behave in line with such expectations. It was not surprising that Welch immediately sold off numerous low-growth businesses, put major resources into high-growth businesses, and sought technological advantage in industries that had never been considered in "technological" terms, such as appliances and lighting.

Thus, mandate, executive characteristics, paradigm, and initial actions

all tend to align in a way that allows a concise conceptualization of the starting point of the CEO's tenure. This origination is a reference point for considering subsequent trends during the tenure.

Critical Trends During a CEO's Tenure

Prior research and theory suggest that changes generally occur on several key dimensions over the course of a CEO's tenure. These dimensions include the CEO's commitment to his or her paradigm, task knowledge, information diversity, task interest, and power. We turn now to a discussion of how these dimensions evolve over a CEO's time in office, and then we propose how the confluence of these trends gives rise to discernible CEO seasons.

Commitment to a paradigm. As discussed previously, the CEO acts on the basis of his or her paradigm, or simplifying model of reality. However, prior research suggests that CEOs may change over time in how committed they are to their paradigms. That is, they may be more open-minded, experimental, and able to learn at certain times than at other times (Salancik, 1977). We will discuss two possible temporal patterns, arguing that the second is more typical than the first.

One view is that the commitment of CEOs to their paradigms gradually increases during their tenures. That is, CEOs are most open-minded about how the organization should be run at the outset of their tenures, and they become increasingly close-minded (or committed to a *modus operandi*—an organizational strategy, structure, policies—and their own style of operating) as their tenures continue. Such a portrayal would be based on the commonsense expectation that the CEO enters the job with few preconceptions of the decisions that should be made or the behaviors to undertake; then, after a fact-finding and diagnostic period, the executive undertakes actions that result in the well-known tendency to become committed to those actions, repeating and reinforcing them during subsequent time periods (Rubin & Brockner, 1975; Salancik, 1977; Staw, 1976).

However, the limited available evidence suggests a different early tendency. It seems more probable that executives enter their positions with relatively high commitment to a paradigm, then perhaps enter a period of open-mindedness and experimentation, and finally start the gradual tendency toward recommitment—either of the original paradigm or a revised one.

At the outset of his or her tenure, a CEO is new to the job, but typically he or she is not new to the job of managing. He or she may have held a graduated series of vice presidencies and possibly served as CEO for a subsidiary or another smaller enterprise. In short, such an executive has an established paradigm and, by virtue of being selected as CEO, is made to feel that that paradigm is potent and correct for the new job, or at least it is better than those of all apparent contenders. In fact, CEOs are made to believe that they are selected on the basis of the appropriateness of their

apparent paradigms—their schemas and repertoires—to the company's particular situation (Vancil, 1987).

This conclusion has been supported by Gabarro's (1987) finding that new general managers undertook a large immediate wave of changes, predominantly in the functional areas in which they had the most experience. Next, these managers went through a period of more careful diagnosis and fact finding (or "immersion") before launching into another wave of changes that did not bear such a close correspondence to their previous experiences. Apparently, an "opening-up" or learning process occurred after the initial wave of actions.

Similarly, research has shown that outside successors to top jobs often make immediate major changes in the organization, reflecting paradigms that diverge from their predecessors (Helmich & Brown, 1972). Then these executives scale back the level of change and make gradual, incremental initiatives that fit the revised models of how their organizations should be configured (Romanelli & Tushman, 1988).

Although some debate may exist about the typical commitment pattern early in a CEO's tenure, most pertinent research and theory (discussed in the following paragraphs) suggests that, in general, executives become more and more wedded to the correctness of their views with the passage of time in their positions. That is, beyond the early period in office, the CEO's commitment to his or her paradigm gradually increases.

This increase in commitment can be traced to three primary factors. First, a person's commitment to a course of action, or to a mode of operating, is largely a function of the amount of investment in that course of action (Brockner & Rubin, 1985). People have difficulty reversing their decisions when they have made major investments. With the passage of time, an executive's psychological investment in his or her paradigm inexorably increases (Rubin & Brockner, 1975).

Second, the commitment of CEOs to their paradigms increases because their choices are highly visible and public. These leaders often make strong pronouncements about the wisdom of their choices, thus throwing their own commitment into a social context; any reversal of such commitment would make them look whimsical or uncertain (Kiesler, 1971; Salancik, 1977).

A third reason that CEOs tend to increase their commitments to their paradigms throughout their tenures is because longevity itself signifies correctness, or at least adequacy. CEOs generally are allowed to continue in their jobs only as long as their performances are satisfactory (e.g., Salancik & Pfeffer, 1980). Thus, tenure tends to equate with a validation of the CEO's paradigm. The longer the CEO's approach to running the firm has met with acceptable performance, the greater his or her conviction in the enduring correctness of that approach (Miller & Friesen, 1984; Watson, 1969). This spiral may be accentuated by the well-known tendency for CEOs to be praised and congratulated profusely by the people around them, particularly subordinates.

In sum, we believe that many, perhaps even most, CEOs may start their

tenures with remarkably strong commitment to their paradigms; then, after gaining a performance and political foothold, they may experience a brief "loosening up" or broadening of their mindsets, which may yield a modified paradigm. Beyond that early point, however, each passing year in the job tends to bring the CEO a heightened sense of correctness in his or her established way of operating and viewing the world.

Task knowledge. A new CEO enters the job at a disadvantage in terms of knowledge of the task—the facts, trends, contacts, and procedures that pertain to the successful conduct of the CEO's role in the focal firm. A person who has been a CEO before, particularly in a similar company, may start with less of a deficit than others, but even he or she will be confronted with unfamiliar actors, terms, norms, and so on. Similarly, a CEO who is promoted from within the organization usually has a better established network for information exchange than an outsider (Kotter, 1982), but regarding many dimensions of the job, this person is still in unfamiliar waters.

In general, the new CEO quickly overcomes this handicap, acquiring a great deal of critical knowledge early in the tenure (Greiner & Bhambri, 1989). Gabarro (1987) emphasized this early learning that occurred in the new general managers he studied, referring to it as *orientational, evaluative, even an immersion*.

However, the accumulation of task knowledge tapers off after some period in the job. Although it cannot be said that the CEO's knowledge actually decreases, it does tend to reach the point of only incremental advance. Gabarro (1987) concluded, for instance, that after about 2½ years in their jobs, the general managers he studied tended to engage in more incremental and routine learning than they did in their earlier period on the job. This finding fits with Katz's (1980) conclusion that task knowledge generally reaches a plateau in all job tenures, not only managerial ones.

Information diversity. Although a CEO's task knowledge increases during his or her tenure—at first rapidly, then slowly—the sources of his or her information become increasingly narrow and restricted. Aguilar (1967), for example, found that new general managers gathered environmental information in roughly even proportions from external and internal sources; however, as they developed more comfortable and reassuring internal networks, the managers sharply reduced their use of external information sources in favor of internal conduits. Research on R&D project teams also indicates that longevity is accompanied by a sharp reduction in communications with external parties (Katz, 1982; Wells, 1962). As Katz (1982: 101) argued:

Given the low levels of external communication for the long-tenured groups, for example, members may have come to believe that they possessed sufficient expertise and knowledge in their specialized technical areas so that it was no longer necessary to pay a great deal of attention to outside sources or new ideas and information.

As a CEO's tenure extends, an increasing reliance on internal infor-

mation sources is aggravated by the tendency for those sources to have learned how to cater to the CEO's information preferences. With time and experience, key subordinates and staff come to know the format, timing, and even the content of information that the CEO will accept. A great deal of information filtering and molding occurs. If the information does not "fit" the CEO's known acceptance zone, or if it runs counter to his or her increasingly apparent and entrenched paradigm, the CEO is not likely to receive this information from subordinates.

Overall, then, a CEO tends to rely on narrower and more finely filtered information as his or her tenure advances.

Task interest. Although CEOs are thought to have inherently invigorating and challenging jobs, there is no reason to expect them to be immune to the tedium that comes from repetition and relative mastery of a task (Argyris, 1957). In fact, major parts of a CEO's job recur with a certain sameness from one period to the next: reviewing business unit plans, making ceremonial visits to outlying facilities, preparing for annual stockholder meetings, reviewing detailed capital allocation requests, courting and reassuring board members, and so on. When first in the job, the CEO may find these activities stimulating and novel. After handling such tasks a few times—and finding that he or she is obligated to keep doing them—the CEO may feel less of a challenge and his or her interest in the position may start to wane. As Katz (1980: 104) concluded: "It seems reasonable that, in time, even the most demanding task assignments and responsibilities would be perceived by the incumbent as progressively customary and less interesting and exciting."

This is not to say that CEOs will come to dislike their jobs. Indeed, they may come to feel comfortably ensconced and content with their increasingly familiar activities (Katz, 1978a,b). They may feel pride and satisfaction over their cumulative accomplishments and their handling of the CEO job. But, they will tend to become less responsive to task stimuli as routine and habit come to prevail (Katz, 1980). What occurs is a dulled acuity, an uncoupling of executive leadership from the organization's competitive environment (Hall, 1976; Romanelli & Tushman, 1988).

Power. Once CEOs are appointed, they are in position to enhance and solidify their power (Pfeffer, 1981). In general, then, the power of CEOs increases during their tenures. This increase in CEO power can come from a variety of means, all of which are aided by the passage of time. For example, co-optation of the board of directors can occur as the CEO has the opportunity to reconfigure the board with his or her own, often sympathetic, appointees (Mace, 1971). The CEO also may be able to create a personal mystique or patriarchal aura, including unquestioned deference or loyalty, as a lengthening tenure allows the CEO's power to become institutionalized (Pfeffer, 1981). As we discussed, tenure signifies cumulative success, insofar as CEOs who perform well are retained. This cumulative success, or substantial track record, then, is also a basis for power. Moreover, at a purely legal level, the passage of time in office allows for the accumulation of stock

and stock options that can enhance the CEO's influence over the publicly held firm.

Of course, there are exceptions to the general tendency for power to increase over a CEO's tenure. For example, a "turnaround" CEO could be brought into a troubled company and given immense initial power to make changes. A mid-tenure CEO could experience performance that is poor enough to impair his or her power (with the establishment of board oversight committees, etc.), but not so poor as to result in departure. The CEO who is approaching mandatory retirement (the "lame duck") may experience a diminution of power. In addition, certainly, some CEOs have personal styles that favor sharing power, even when they could exert considerable power of their own. Although we recognize the potential for these and other exceptions, the most common pattern is still expected to be an increase in power during the CEO's tenure.

Instead of facing an oft-termed *honeymoon* period, then, a new CEO faces relative vulnerability. This early lack of power is reflected in the disproportionate number of CEOs whose tenures last 3 years or less (Fredrickson, Hambrick, & Baumrin, 1988). With time in office, however, the CEO's power tends to mount. In the absence of mandatory retirement policies, each passing year in office brings a greater likelihood of the CEO's continuing tenure.

Overall, then, several critical trends are expected to occur over the tenure of a typical CEO: Commitment to a paradigm will begin at a relatively high level, decrease briefly during a period of relative open-mindedness, and then increase steadily throughout the remainder of the tenure. Task knowledge will increase, at first quickly and then very slowly. Informational diversity will diminish. Task interest will be very high for an initial period, and then it will taper off. Finally, the CEO's power generally will increase over time. When these trends are considered together, as an interrelated set of dynamic flows, they suggest discernible seasons or phases in the typical CEO's tenure.

THE FIVE SEASONS

The above analysis suggests, to us, five discernible stages in the typical CEO's tenure. In this section we will discuss the characteristics of these five seasons.

Response to Mandate

Upon entering the job, a new CEO generally devotes attention and energies to responding to the mandate he or she has been given by the board of directors or predecessor CEO. "The mandate, usually more implicit than explicit, is a message to the new CEO concerning the magnitude, direction, and pace of change that is expected" (Vancil, 1987: 261). The mandate can be one of continuity (no change), or it can be one of dramatic change (cut costs, innovate, expand globally, resolve litigation, etc.).

Early on, then, the CEO's actions are very much a reflection of this *going-in mandate* (Gabarro, 1987) as well as his or her most apparent *going-in credentials*. Accordingly, for example, outsiders will tend to undertake more change than insiders (Baumrin, 1990; Helmich & Brown, 1972). Executives will tend to make the most immediate changes in the functional areas in which they have the most experience (Gabarro, 1987). Even quite peculiar mandate-credential combinations are possible, as seen in the selection of John Shad, the former chairman of the New York Stock Exchange and \$30 million benefactor to an ethics research program at the Harvard Business School, to be the chairman of indictment-ridden (now defunct) Drexel Burnham Lambert (*New York Times*, 1989).

In this first season, the CEO is working to develop an early track record, legitimacy, and a political foothold. These aims further favor primary attention on the mandate because it (a) constitutes his or her "marching orders," (b) tends to align with the competencies that earned the person the job, and (c) thus provides the best potential for demonstrating early efficacy, as new executives are under great pressure to do.

To summarize the elements discussed previously, as in Table 1, the response to mandate phase of the CEO's tenure is characterized by the CEO's relatively high commitment to his or her paradigm (the paradigm that earned the person the job), relatively low task knowledge, use of diverse information sources, high task interest, and low power. In this phase attention and action will be directed mainly toward a singular agenda.

Experimentation

After attending specifically to the going-in mandate, achieving some early successes, and gaining a political foothold, the CEO may start a period of experimentation. We say "may" because this season is sometimes bypassed by executives who are both convinced of the enduring correctness of their initial paradigm and comfortable pursuing it indefinitely. Such dogmatism may at times be found in executive suites. However, if open-mindedness and experimentation is ever to occur during a CEO's tenure, it will be most likely at this point. During this phase CEOs may relax their commitment to their paradigms, attempt new approaches to running their enterprises, and generally try broader gauged methods than they were willing to attempt in the initial days of their tenures.

Of the five phases we propose, experimentation has the most limited support in prior literature. In fact, for support we rely primarily on Gabarro's (1987) study of general managers in the first three years of their jobs. In that study, it was found that after an initial wave of actions that matched their going-in mandates and personal credentials, managers entered a brief period of intense learning with few changes, followed by another large wave of changes that bore less correspondence to their going-in mandates or prior backgrounds. In this "reshaping" stage, Gabarro's managers put to

TABLE 1
The Five Seasons of a CEO's Tenure

	1	2	3	4	5
Critical CEO Characteristics	Response to Mandate	Experimentation	Selection of an Enduring Theme	Convergence	Dysfunction
Commitment to a Paradigm	Moderately strong	Could be strong or weak	Moderately strong	Strong; increasing	Very strong
Task Knowledge	Low but rapidly increasing	Moderate; somewhat increasing	High; slightly increasing	High; slightly increasing	High; slightly increasing
Information Diversity	Many sources; unfiltered	Many sources but increasingly filtered	Fewer sources; moderately filtered	Few sources; highly filtered	Very few sources; highly filtered
Task Interest	High	High	Moderately high	Moderately high but diminishing	Moderately low and diminishing
Power	Low; increasing	Moderate; increasing	Moderate; increasing	Strong; increasing	Very strong; increasing

use the wealth of learning they had experienced during their first year or two on the job, undertaking actions on various fronts.

Even though concrete evidence of the experimentation stage is limited, we believe a logical case can be made for it by examining the critical trends summarized in Table 1. That is, by the second or third year in office, the CEO has acquired a great deal of knowledge from a diverse set of information sources and still has a high level of task interest. Up until this point (that is, during the response to mandate phase) the CEO has not had the political leeway or inclination to deviate widely from what he or she was brought in to do. However, as the CEO achieves early successes and establishes credibility, he or she may now be willing to consider new directions.

Selection of an Enduring Theme

In this third stage, the executive tends to select a theme for how the organization should be configured and run from that point on. At this time the CEO reflects, probably more subconsciously than consciously, on everything he or she has tried during the first two stages of the tenure. He or she selects those elements that seem to work the best and that are the most comfortable.

In short, at this point CEOs begin to recrystallize their paradigms. They may conclude that their initial paradigms, which they applied in the response to mandate phase, are the ones best suited for their firms and them. (In the case of executives who fail to enter an experimentation stage, this belief in the initial paradigm has been intact from the outset.) Or they may conclude that the approach used in the experimentation phase is most promising. Realistically, a CEO may settle on a combination of the two approaches as the most satisfactory model for operating the enterprise.

Convergence

After selecting a theme, the CEO begins to reinforce and bolster it through a stream of relatively incremental actions. These actions could relate to structure, staffing, processes, or functional area initiatives, but they all serve to support and converge on the CEO's theme.

Our label for this stage of a CEO's tenure is adopted from the work of Tushman and Romanelli (1985), who found that organizations alternate between relatively brief spurts of major change, or *reorientations*, and long periods of incremental change, or *convergence*. Reorientations tend to coincide with CEO succession, whereas convergence occurs in the subsequent years of a CEO's tenure.¹ In the same vein, Miller and Friesen (1984) found in a study of quantified business histories that companies generally

¹ Tushman and Romanelli (1985) also found that convergence can continue across CEO tenures if the successive CEOs have the same experience and values, or what we call *paradigms*.

are affected by *momentum*: A change in an organizational attribute is three times as likely to be followed by further change in the same direction as by a reversal in direction. Although these authors did not provide explicit data about executive tenures, they concluded that these rare reversals tend to be associated with new CEOs, and that momentum is a nearly universal phenomenon among longer tenure CEOs. Such a conclusion is consistent with Gabarro's observation that almost all the actions taken by new general managers occur in their first 2½ years in office. After that, a period of "refinement" occurs, in which only a few changes were made by the managers, and those changes were made to fine-tune the organization.

We can summarize the forces underlying this phase by returning to the trends discussed earlier. The CEO's commitment to his or her paradigm is strong and getting stronger; task knowledge has increased greatly since the CEO arrived, but it has reached a plateau; the person is exposed to an ever narrower and more filtered information flow; task interest has started to wane, but the CEO's power is relatively great, and it is still increasing. Eventually, these trends reach extremes, and the convergence stage is supplanted by the fifth and final season of the executive's tenure.

Dysfunction

At some point, the positive effects of a CEO's continuing tenure (primarily in increasing task knowledge) are outweighed by the negative effects. Job mastery gives way to boredom; exhilaration to fatigue; strategizing to habituation. Outwardly, such executives may show few signs of this malaise because they may have been well socialized in the importance of keeping up executive impressions and appearances. However, inwardly the spark is dim; openness and responsiveness to stimuli are diminished. The continuing incumbency of these executives is dysfunctional for the organization.

As Table 1 summarizes, at this point the CEO will engage in fewer and fewer substantive initiatives, even of actions that would reinforce the now long-enduring theme. His or her decision making will be slower and based on highly distilled information. The CEO will become more involved in ceremonies that are comfortable and less involved in acts of substance (Romanelli & Tushman, 1988). The CEO's outside interests may increase as he or she searches for new stimuli. As a result of these dysfunctions, the organization's adaptive properties wane. Miller (1988), for example, found in a study of Canadian companies that the environment-organization alignments posited by prevailing contingency theory were observed for companies whose CEOs had been in office for a moderate or brief period, but not at all when CEOs had been in office for 10 years or more.

Even though at this time the CEO is disengaged psychologically, his or her power is at an all-time high. The executive may have appointed many of the board members, selected and retained loyal subordinates, perhaps developed a patriarchal aura, and even secured a substantial block of the company's stock. In the absence of a mandatory retirement provision, the

chances of his or her departure may be very limited. For such CEOs, even though some of the excitement is gone from the job, giving it up is generally an unappealing alternative (Sonnenfeld, 1988; Vancil, 1987). As a result, the duration of the dysfunction stage of the CEO tenure can sometimes be quite long.²

PROPOSITIONS

It can be said that our model represents a series of propositions because it rests on indirect evidence and awaits systematic testing. However, the five-season model raises some additional implications that can be posited as propositions. As we discuss in the following sections, these implications have significance for both managerial theory and practice.

Performance Implications

An organization's performance depends on many factors, often including elements outside the control of top management. However, if we make a *ceteris paribus* assumption (that is, controlling for industry conditions and random, exogenous shocks), the CEO seasons model has significant implications for organizational performance. Early in the tenure, the CEO's task knowledge is accumulating and is not yet at its peak; moreover, at this point he or she may not have had a chance to reinforce or fully implement initial directions. Thus, early in a CEO's tenure, the organization's performance (relative to its industry) will tend to increase. Late in the tenure, in contrast, the CEO often adheres to an obsolete paradigm, relies on a very narrow and highly filtered flow of information, and has a diminished task interest. Thus, beyond some point in the CEO's tenure, organizational performance diminishes. On the basis of similar logic, Katz (1982) found that the performance of R&D project groups was related to their tenures in an inverted-U manner, just as Eitzen and Yetman (1972) found for basketball coaches, as described at the opening of our article. Thus, the following is proposed:

Proposition 1: On average, CEOs whose tenures span all five seasons will experience their peak performance at some intermediate point in their time in office. Performance very early and very late in the tenure will be lower.

We believe that for most such CEOs, peak performance will occur dur-

² It is reasonable to ask what the average duration is of each season. Existing data do not allow any particularly defensible estimates. For the sake of providing "food for thought," however, our best estimates of the typical durations of the CEO seasons are as follows: Response to Mandate—1 to 2 years; Experimentation—1 to 2 years; Selection of an Enduring Theme—1 to 2 years; Convergence—3 to 5 years; Dysfunction—all remaining years. Obviously, variations of these averages could be substantial.

ing the middle of the convergence stage. Beyond that point, on average, the CEO's performance, and that of the organization, will diminish.

It is important to qualify the above proposition as applying only to CEOs whose tenure spans all five seasons. The CEO who leaves office, say, early in the fourth season, may avoid the downturn that comes with extended tenures. That is, CEOs whose tenures span only the first three seasons typically experience their peak performance at the end of their time in office.

In the case of CEOs whose tenures are very short (say, only through the first one or two seasons), one might expect that their performance in general would be low (hence the short tenure), but one cannot posit a performance trend, because competing phenomena can occur: upward learning effects versus downward effects of a generally ill-suited or incapable CEO. Some CEOs—perhaps not many according to Vancil (1987)—are intentionally appointed for very short tenures, sometimes as turnaround specialists or as interim caretakers until another CEO can be identified or prepared. Performance generalizations for very short tenures are hence difficult to make.

Environmental factors. The curvilinear performance pattern discussed in the previous sections will be affected by the type of environment in which the organization operates. If the environment is stable, the expected downturn in a CEO's performance is delayed and may not occur at all (Romanelli & Tushman, 1988). In such a case, the CEO's paradigm will be relevant for a long period; convergence and persistence are accommodated by the environment. The chief risk from an extended CEO tenure may not be the problem of obsolescence but one of malaise or lethargy. The study of basketball coaches (Eitzen & Yetman, 1972), cited at the beginning of the article, provides some evidence of delayed performance downturn of executives in stable settings. Namely, if we accept that basketball exists in a relatively stable environment (where rules, sources of players, physical environment, and so on are changed very gradually), it is not surprising that successful coaches are effective for a relatively long time (13 years, on average) before their teams begin to weaken. Therefore,

Proposition 2a: The more stable the environment, the later and the more gradual the performance downturn of the long-tenured CEO.

Conversely, in a dynamic, particularly a discontinuous environment, both the CEO's increasing commitment to his or her paradigm and more restricted information processing are more likely to become prompt liabilities. Although it might be expected that a dynamic environment would induce an ongoing alertness and uneasiness, we believe that in this case it is more typical for the CEO to become wedded to a paradigm that has been appropriate but suddenly no longer is—perhaps as buyer behavior, competitor behavior, or technologies radically shift. Thus,

Proposition 2b: The more dynamic the environment, the earlier and steeper the performance downturn of the long-tenured CEO.

Before proceeding to other propositions, we believe it is useful to ad-

dress concerns about whether the performance implications of the seasons model could be tested empirically. The fields of organization theory and strategy have substantial traditions of attempting to determine associations between top executives and organizational performance (e.g., Carroll, 1984; Grusky, 1963; Gupta & Govindarajan, 1984; Lieberman & O'Connor, 1972). The article by Lieberman and O'Connor, perhaps the most widely cited of all such studies, provides an illustration of how the seasons concept might be tested. They used analysis of variance to partition the effects of several potential determinants (including the CEO) on several measures of organizational performance, for a pooled, cross-sectional sample of large firms. By adding additional independent variables to account for the number of years the CEO had been in office (and its squared term to test the curvilinear pattern we posit), the Lieberman and O'Connor data set might be quite apt for testing the seasons model. Eventual empirical investigations will need to control for industry factors and potential lags in the effects of a CEO's decisions as well as to acknowledge the limitations of any single performance measure, such as current profitability or stock price performance. However, if careful sampling and controls are used, the performance implications of the seasons model are amenable to testing.

Implications for Upper Echelons Theory

The five-seasons model of CEO tenures has major implications for the validity of "upper echelons theory," the concept that managerial background characteristics can be used to predict organizational characteristics (Hambrick & Mason, 1984). For example, a straightforward upper echelons hypothesis might be that a CEO who has a production background will be inclined to pursue a strategy that emphasizes production/operations over other areas of the firm. However, the seasons model suggests a refinement in such a hypothesis. In particular, a CEO's background characteristics would seem to be most predictive of *changes* that are made in the earliest days of his or her tenure as response to mandate, but not necessarily predictive of the early cross-sectional profile of the organization. To return to the previous example, the CEO with a production background may be expected to make significant changes to improve manufacturing efficiency in the early period of his or her tenure, consistent with Gabarro's (1987) findings, but that emphasis may not be reflected in any early static measure of how manufacturing-oriented the company is. At this point, the CEO has not had enough time to remake the organization in a mode that fits his or her production-biased paradigm.

However, with the passing of time and a stream of reinforcing decisions, the organization will take on more and more characteristics that could be predicted on the basis of the CEO's personality and experiences. This conclusion is consistent with a finding by Miller, Kets de Vries, and Toulouse (1982) that the association between CEOs' personalities (locus of control) and their companies' strategic profiles was far stronger for CEOs who had been in office over three years than for CEOs with less time in office.

Particularly to the extent that the CEO selects an enduring theme (our third season) which is a direct reflection of his or her own experiences and values, and to the extent that the theme is a continuation or elaboration of the initial response to mandate, then the organization will gradually become a vivid manifestation of the CEO. In summary, the seasons model suggests this refinement of upper echelons theory:

Proposition 3: The longer the CEO's time in office, the stronger the association between (a) his or her background characteristics and personality and (b) the characteristics of the organization.

Role of Executive Discretion

In some instances, the CEO does not have much of an impact on organizational outcomes, nor does the season he or she is in. These are situations of low discretion (Hambrick & Finkelstein, 1987), in which the CEO is highly constrained by environmental or organizational forces. For example, the CEO of a regulated public utility that has a long-term fuel contract and serves a region with a stable economy is sharply restricted in how much impact he or she can have on the form or fate of the enterprise. Similarly, the CEO of a large capital-intensive firm that has a single dominant shareholder and the predecessor CEO serving as chairman may have very few options available for putting an imprint on the organization (Finkelstein, 1988). Accordingly, as with all theory and research on executive leadership, the amount of discretion available to the CEO moderates the validity of the seasons model:

Proposition 4: The characteristics of the seasons of a CEO's tenure, as well as his or her proposed implications for organizational performance, depend on the amount of discretion the CEO possesses. The greater the CEO's discretion, the greater the manifestations of the seasons.

Restricted discretion brings about an important deviation from the typical profile of CEO seasons we have posited. However, yet other exceptions must be expected, and we turn now to their consideration.

EXCEPTIONS AND VARIATIONS

Stage or phase models—be they models of product life cycles (Hofer & Schendel, 1978), organizational life cycles (Greiner, 1972), or personal life cycles (Levinson, 1977)—strive to account for the most common tendencies, and doing so they inevitably oversimplify and thus serve more as points of departure for identifying and understanding exceptions than as universal truths. Certainly, our portrayal of the seasons of a CEO's tenure describes a prototypical case, when, in reality, many exceptions and variations occur. Without systematic empirical investigation, there is no way of reliably estimating the proportion of all CEO tenures that approximate the modal

pattern presented here. However, some departures from the seasons model can be anticipated and described.

Exceptions

Before we discuss variations on the seasons model, it is useful to deal with the case of total exceptions: CEOs who traverse no discernible seasons during their tenures. In such cases, two archetypal profiles may occur. First are executives who exemplify the typical idealized portrayals of effective managers: open-minded, scanning the environment broadly, energized, adapting as conditions warrant, all regardless of the amount of time in office. (One reviewer called this condition "perpetual springtime.") What are the conditions that might give rise to such an ideal state? We cannot anticipate all underlying factors but we can illustrate the three domains typically examined by organization researchers: environment, organization, and the individual.

It could be expected that executive vigilance and energy would be most likely to persist in an environment that has moderate pressures in terms of competitive rivalry (Porter, 1980) and uncertainty (Lawrence, 1981). Under such conditions, stimuli are abundant but not overwhelming. At one extreme, an environment without pressures can induce complacency and confidence in the status quo; at the other extreme, an environment of high pressures will propel the executive to adopt simplifying, comforting paradigms as a way of coping with the surrounding complexity (Cyert & March, 1963). A low degree of industry isomorphism (particularly mimetic isomorphism) is another environmental condition that favors ongoing executive vigilance (DiMaggio & Powell, 1982). An absence of industrywide dogma encourages independent analysis and mindfulness; its reverse fosters mere imitation and "going with the flow."

At the organization level, several conditions may favor ongoing CEO alertness and open-mindedness. The first is pressure from owners or overseers on the CEO to perform. If the owners are vigilant, form a strong board of directors, tie the CEO's income and fortunes to the performance of the firm, and credibly pose a threat of CEO dismissal for poor performance, it is likely that the CEO will stay alert and questioning, or else depart (voluntarily or involuntarily) (Jensen & Meckling, 1976; Walsh & Seward, 1990).³ A continuing vigilance by the CEO may also be facilitated by the presence of an assertive and diverse top-management team (Hambrick, 1987). Such a group will provide both a breadth of perspectives as well as a ready vocalization of and insistence on acknowledgment of those perspectives. In fact, no single condition may be more critical to ongoing CEO freshness than the caliber of the accompanying team.

³ The case of the owner-CEO is one where we must be equivocal. Such a person has a vested interest in performing at a high level at all times, yet he or she is free to pursue personal ends (leisure, uncertainty reduction, political involvement, etc.) that pull him or her away from executive vigilance.

We turn finally to the qualities of the CEO that may promote year-in/year-out responsiveness. Some executives may have more personal capacity for sustained questioning, openness, and energy than others. These underlying qualities may read like a litany of universal executive traits, but executives have been found to vary significantly on these dimensions: need for achievement (as opposed to a need for power) (McClelland, 1985), tolerance for ambiguity (Gupta & Govindarajan, 1984), internal locus of control (Miller et al., 1982), and strong values of innovation and novelty (Hage & Dewar, 1973; Hambrick & Brandon, 1988). Undoubtedly, still other personal attributes could be added to the portrayal of the executive who is able to avoid the tendencies of the postulated seasons of a CEO's tenure. When these personal qualities are coupled with the environmental and organizational conditions discussed previously, the likelihood of the executive's being vigilant, open-minded, and energetic—irrespective of the number of years in office—is maximized.

Conceivably any number of other "no-season" portrayals of CEO tenures could be articulated. However, of particular interest, because it is a stark contrast to the idealized perpetual springtime just discussed, is the case of the executive whose entire tenure—even from the outset—is typified by the characteristics of our fifth season, dysfunction: strong commitment to a paradigm, very restricted and distilled information flows, low task interest, and great power. In order for such a tenure to last a long time, the environment must be relatively stable and buoyant, as might exist for a monopoly, a highly regulated utility, or some government agencies. The executive who might fit this profile would be a long-term insider who had been a close understudy, even somewhat a clone, of the preceding CEO. A fuller characterization of the accompanying tendencies of such a tenure emanate from the mirror opposites of the elements discussed above: a highly isomorphic industry, a weak and homogeneous top-management team, a CEO with a low tolerance for ambiguity, and so on.

Variations

For some CEO tenures, seasons may occur but in a different sequence or pattern than envisioned for the general case. For example, an executive might respond to an early mandate, go through a significant period of commitment and convergence, then a period of experimentation, selection of an enduring theme, and so on. Another variation would be the executive who goes through several rounds of experimentation before selecting an enduring theme, through a period of commitment and convergence to that theme, then a period of response to some emergent mandate, and so on. Obviously, many possibilities exist. Although we expect that variations will occur to some degree, the conditions that would allow them to occur are expected to be considerably rarer than the conditions that underlie the modal five-season model we have set forth. Still, being alert to the possibility of variations will help researchers with subsequent testing and refinements of the seasons perspective.

PRACTICAL CONCERNS

Beyond its implications for management theorists, our model of CEO seasons is of potential practical significance for executives and boards of directors. At one level exists a set of issues regarding executive succession and staffing policies. For example, if the model is valid, then companies need to be alert to the dangers of their CEOs staying too long in office. The mandatory retirement policies many firms have for their top officers seem to be well advised. However, it may be that these policies should be based on the CEO's years in office rather than on age. For example, a person who becomes CEO at age 45 may have a greater likelihood of clinging to an obsolete paradigm and losing sharpness in the job at age 55, than does a CEO who turns 65 but has held the position for only five years. Because the CEO usually accumulates power as a function of time in office, a strong mandatory retirement policy at the outset of the tenure may be the only realistic way to ensure that the person leaves office before his or her performance deteriorates.

Conversely, a CEO can spend less time in office than is optimal. Because of the learning and experimentation process, a CEO who leaves prior to four or five years in office (possibly shorter in very dynamic industries) has not had a chance to achieve peak performance on the job. It may be particularly harmful for the organization to have a series of very short-tenured CEOs, each of whom launches on a new direction but without the payoffs of complete implementation or the wisdom that comes from some time on the job.

Boards also need to be very wary of selecting a CEO who is well equipped to respond to a pressing initial mandate but who does not have the breadth of repertoire to pursue other themes. There is a great chance that once the initial mandate is met (say, an immediate cost-cutting period) the CEO will continue to pursue that theme, well past its point of appropriateness, because that phase is where the person's competencies and mind-set lie. In short, boards need to have 5- to 10-year horizons, not 2-year horizons, in mind as they approach the important task of CEO selection.

The existence of the seasons of a CEO's tenure has important implications for executives as they think about how to maximize their own contributions. One of the most perplexing questions is whether the downturn that often comes with an extended tenure can be forestalled or minimized. The answer lies strictly in the CEO's own capacity for renewal and open-mindedness. As noted already, the most important contributions may be the talent and diversity of the management team that the CEO assembles and his or her willingness to listen to that team for divergent, fresh insights. The CEO's own program of renewal and education, such as through sabbaticals, retreats, executive institutes, and so on, may also influence his or her open-mindedness. Ultimately, the CEO must retain a capacity for uneasiness, skepticism about the status quo, and curiosity in order to surmount

the very human tendency to cling to formulas that have worked well in the past.

CONCLUSION

An abundance of prior research and theory points to important accompaniments to a top executive's passage of time in office. Yet, no efforts have been made to coalesce these many and diverse observations into a comprehensive model. In this article, we have attempted such an integration, delineating five phases, or seasons, of a CEO's tenure in office. The model has major implications for theories of leadership, organization theory, and strategy. In addition, the practical implications are substantial because we posit some harmful effects of extremely short and extremely long CEO tenures.

Various tests are needed to confirm and extend the theory. Such tests could include in-depth clinical observation of a small number of executives over time; comparative analysis of the biographies of major leaders in business, government, and the military; and large-sample quantitative inquiries of archival or survey data. We have limited our scope to CEOs, yet the seasons model may apply to managers at all levels; thus, cross-level comparisons may be particularly instructive. The call for dynamic models has been heard in many domains of management theory in recent years; we believe executive leadership is a particularly important arena for time-based theories and methods.

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